# D 140 | A price ceiling is not approval

PRIVATE FICTIONAL integrated review. Crore at closing t=0. No real company valuation, bid, agreement, tax opinion, account access or spend.

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|---|---|
| **Standalone and timing** | FCFF 5 at endyear 1, 6 at endyear 2, 6.24 at endyear 3 growing 4% thereafter; WACC 12%. Terminal 78 at endyear 2; EV 71.428571, equity 63.428571 after debt 10/cash 2. No other assets or claims supplied. Terminal is discounted two years, not three. |
| **Incremental value** | Nonoverlapping control 1 at year 1=>PV.892857. Already after-tax synergies 2/3 at years 1/2=>benefitPV 4.177296, less integration 1.5 at closing=>net 2.677296. Zero-NPV equity ceiling 66.998724. No invented terminal synergy or extra 25% tax deduction. |
| **Ask and opportunity cost** | Revenue 15 times 6 is enterprise ask 90, not equity. Same bridge gives equity 82; buyerNPV-15.001276. A banker multiple is a price reference, not intrinsic proof. No real bid authorized. Positive parent value does not prove best-owner advantage versus accessible alternatives. |
| **Separate operating model** | EBITDA 20 minus D&A 4=>EBIT 16. Stipulated 25% of positive EBIT=>tax 4. FCFF=16-4+4-6-2=8. This operating example is separate, not substituted into the standalone forecast. D&A addback is not cash receipt; negative EBIT gets zero toy tax, not an immediate refund. |
| **Independent stress controls** | Demand factor multiplies only standalone forecast cash flows. Delay shifts synergy receipts, not closing integration. Overlap removes a duplicated year 1 control flow once; integration multiplier changes cost. These are conditional stresses, not measured probabilities or demand elasticities. |
| **Decision remains open** | Keep enterprise/equity, timing, cash-flow risk, ownership alternatives, decision rights, evidence versus allegations, actionable segments, relative search interest and frame-price confounding distinct. Blank evidence/owner/approval/stop plan is not accepted responsibility or permission. |

# Inputs | Distinct cash-flow families

All numbers stipulated fictional assumptions. Rates fractions. Overlap bounded by both year 1 control and synergy. Global numeric gate blocks arithmetic on invalid input, not on economic downside.

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| **Standalone FCFF endyear 1** | 5.00 |
| **Standalone FCFF endyear 2** | 6.00 |
| **Standalone FCFF endyear 3** | 6.24 |
| **Perpetual growth fraction** | 0.04 |
| **Discount rate fraction** | 0.12 |
| **Closing debt** | 10.00 |
| **Excess cash at closing** | 2.00 |
| **Nonoverlapping control year 1** | 1.00 |
| **Already after-tax synergy year 1** | 2.00 |
| **Already after-tax synergy year 2** | 3.00 |
| **Integration at closing** | 1.50 |
| **Revenue for price reference** | 15.00 |
| **Enterprise revenue multiple** | 6.00 |

# Inputs | Distinct cash-flow families

All numbers stipulated fictional assumptions. Rates fractions. Overlap bounded by both year 1 control and synergy. Global numeric gate blocks arithmetic on invalid input, not on economic downside.

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|---|---|
| **Separate EBITDA** | 20.00 |
| **Separate D&A** | 4.00 |
| **Separate positive-EBIT tax fraction** | 0.25 |
| **Separate capex** | 6.00 |
| **Separate increase in working capital** | 2.00 |
| **Demand factor for standalone only** | 1.00 |
| **Whole-year synergy delay** | 0.00 |
| **Duplicated year 1 overlap to remove once** | 0.00 |
| **Integration cost multiplier** | 1.00 |

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| **All numeric controls valid? (1=yes)** | 1.000000 |

Signed EBITDA is allowed for the separate operating example; other inputs nonnegative, rate>growth, tax fraction<=1, delay whole. This is not enough for real growth/reinvestment consistency, loss utilization, risk matching, authority or a valid market study. No actual private records.

# Standalone | Terminal at endyear 2

Crore, expected classroom cash flows. Distinguish operating value and equity; bridge has only stated debt and excess cash.

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| **Terminal value at endyear2** | 78.000000 |
| **PV of year1 FCFF** | 4.464286 |
| **PV of year2 FCFF** | 4.783163 |
| **PV of terminal value** | 62.181122 |
| **Enterprise operating value** | 71.428571 |
| **Standalone equity value** | 63.428571 |
| **Enterprise ask from revenue multiple** | 90.000000 |
| **Equity ask with same bridge** | 82.000000 |

No separate equity discounting of FCFF. Excess cash added once; debt subtracted once. No leases, pensions, minority claims or other assets supplied. A negative equity output is retained, not clipped. Stable-growth arithmetic requires rate>growth but that alone does not validate reinvestment or risk assumptions.

# Increment | No duplicate value

Control and synergy stated disjoint in baseline. Already after-tax incremental flows, finite horizon only.

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| **Control PV year1** | 0.892857 |
| **Year1 synergy PV** | 1.785714 |
| **Year2 synergy PV** | 2.391582 |
| **Gross synergy benefit PV** | 4.177296 |
| **Net synergy PV after closing integration** | 2.677296 |
| **Zero-NPV maximum equity price** | 66.998724 |
| **Buyer NPV at quoted equity ask** | -15.001276 |
| **NPV at own equity ceiling** | 0.000000 |

Baseline control.892857, gross synergy 4.177296, net 2.677296, ceiling 66.998724, NPV at ask-15.001276. Stipulated 12% applied only for toy; real different-risk flows need supported treatment without duplicate risk haircuts. No automatic perpetuity or tax benefit from integration assumed.

# Stress | Change one family before combining

Conditional stress, not probability-weighted forecast or recommendation. Delay affects synergy receipts only; integration remains at closing.

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| **Demand-adjusted standalone EV** | 71.428571 |
| **Demand-adjusted standalone equity** | 63.428571 |
| **Control PV retained** | 0.892857 |
| **Delayed synergy PV with overlap removed once** | 4.177296 |
| **Integration cost at closing** | 1.500000 |
| **Stressed net synergy PV** | 2.677296 |
| **Stressed equity price ceiling** | 66.998724 |
| **Stressed buyer NPV at unchanged equity ask** | -15.001276 |

Overlap is a year 1 synergy item already counted in control; remove it from synergy once, retain control at year 1. Delaying synergy does not delay control. Demand shock scales forecastFCFF including terminal numerator, not revenue-reference ask, control or synergy. This clean separation is an assumption, not a claim about real covariance.

# Operating | EBITDA is not FCFF

Separate exercise, not an alternate input to Standalone. Positive-EBIT cash tax stipulated, not current Indian tax law.

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| **EBIT** | 16.000000 |
| **Stipulated cash operating tax** | 4.000000 |
| **After-tax EBIT under toy rule** | 12.000000 |
| **FCFF after reinvestment** | 8.000000 |

Baseline 16, 4, 12, 8. At negativeEBIT, no automatic refund or modeled deferred-tax benefit. Actual loss utilization, timing, tax shields and jurisdiction require support. D&A noncash addback reverses an expense, not a cash receipt; capex and increased working capital consume cash.

# Decision plan | Integrate without laundering proof

Authored review prompts, not an actual board review, source verification, market study or transaction authority.

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| **Best owner / downside** | Compare net ownership value with feasible alternate owners/contracts and entry price. Model overlap, delay, demand and cost separately before combined downside. Positive improvement is not comparative advantage. No multiple or checklist independently proves fair value. |
| **Decision rights** | Separate Recommend, Input, Agree, Decide, Perform within defined rights. Agree is assigned constraint scope, not unlimited veto; Decide is not permission to use any account or budget. Actual owners, acceptance and review dates absent. |
| **Governance evidence** | Unresolved cash differences need reconciliation, scope, timing and preserved records. Do not ignore evidence or announce fraud without proof. Board signoff does not make forecast certain or replace evidence, challenge, conflict controls and monitoring. |
| **Demand and positioning** | Large segment or high Trends index is not absolute demand or profitable reach. Need/occasion labels do not prove useful response. Price and frame changed together supports package outcome, not isolated frame effect. No invented customer, quote, current brand or market-size claim. |
| **Approval and stop** | Before real use: reconcile records and claims, independent challenge, risk and legal review, permission-cleared participant/account access, explicit price/conditions/authority and implementation stop limits. Budget affordability does not grant approval. No actual send, bid, contract or spend. |
| **Transfer boundary** | Close notes: delay synergies one year, keep integration now; then remove overlap 1 once; then demand.8 and cost 2 x separately. Explain direction, unit and bridge before calculator. Actual independent learner/reviewer answers remain blank; no 10/10 claim. |

# Actual work | Evidence and approval stay blank

No actual owner accepted, approval given, source record reconciled, company valued or transaction authorized.

| Issue | Source / date | Model cell | Evidence gap | Owner / acceptance | Approval / limit | Stop / next check |
|---|---|---|---|---|---|---|

Record only real source-grounded evidence if later authorized. Do not replace unknowns with invented zeros, accepted owners or fabricated approvals. This blank plan is not a binding maximum bid or legal/tax opinion.

# Evidence | Bounded written source coverage

One new selected chapter opening; prior D 134-139 written evidence reused without claiming broader reading. SixURLs/fiveorganizations, not six independent efficacy tests.

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| **Damodaran FCFF** | https://pages.stern.nyu.edu/~adamodar/pdfiles/valn2ed/ch15.pdf \| Newly read selected opening through first stable-growth example: FCFF versus EBITDA, discounting, stable growth/reinvestment and debt/cash bridge. Not rest of chapter, APV or figure pixels; historical rates not current law. |
| **Damodaran synergy** | https://pages.stern.nyu.edu/~adamodar/pdfiles/papers/synergy.pdf \| Prior D 135 selected opening/sources/valuation/control/timing and wrong-rate passages reused, not full paper or independent replication. No current tax/deal claims. |
| **BCG parenting** | https://www.bcg.com/publications/2016/portfolio-strategy-capital-allocation-parenting-advantage \| Prior D 134 selected adding/subtracting context reused, not full article or actual best-owner finding. |
| **OECD board** | https://www.oecd.org/en/publications/g20-oecd-principles-of-corporate-governance-2023_ed750b30-en/full-report/component-8.html \| Prior D 137 complete returned boardchapter/annotations reused. Good-practice guidance, not current Indian thresholds or proof of forecast honesty. |
| **OpenStax segment** | https://openstax.org/books/principles-marketing/pages/5-4-essential-factors-in-effective-market-segmentation \| Prior D 138 complete returned written chapter/knowledge checks reused. Actionability/response evidence, not actual demand. |
| **Dunford position** | https://www.aprildunford.com/post/an-introduction-to-positioning \| Prior D 139 complete returned 2020 writtenarticle reused. Five linked choices; not fullbook/AV or tested consumer efficacy. Existing D 138 Trends/D 139 factorial evidence retained, not new study. |

# Failure log | Authored execution, not diligence

Observed checks entered after execution. No independent learner, real company records or approvals verified.

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|---|---|
| **1** | PASS: 29 baseline formulas independently recomputed. |
| **2** | PASS: 24 changed sets plus clean restore. |
| **3** | PASS: 16 invalid controls/464 isolation checks. |
| **4** | PASS: 6 broken references/6 explicit error checks. |
| **5** | PASS: negative EBITDA/equity/NPV retained. |
| **6** | PASS: terminal year2 and closing integration distinct. |
| **7** | PASS: overlap removed once;delay receipts only. |
| **8** | PASS: actual evidence/approval/owner/stop plan blank. |